**Luke Buddie, Gennaro Di Mauro, Peter Spira, Caden Carney**

**Role: Cavalier Capital**

| | Values | EBITDA Multiples |
|---|---|---|
| **Term A** | **$4,315** | **3.0x** |
| **Term B** | **$2,158** | **1.5x** |
| **Sub Debt** | **$1,438** | **1.0x** |
| **Equity** | **$2,877** | **2.0x** |
| **Bid** | **$10,788** | |
| **EBITDA** | **$1,438** | |
| **Multiple:** | **7.5x** | |

Our team used these numbers because we wanted our FCC in each tranche to be above 1.1x in year 1, while maintaining the minimum IRR of 15% for Cavalier Capital and 20% for Jefferson Capital. We saw that raising Term A debt increased IRR for Jefferson Capital but diminished the FCC for the mezzanine player, thus making our sub-debt team hesitant to make the bid with this capital structure. We then adjusted other tranches, raising Term B to 1.5x EBITDA to make our leverage multiple higher, targeting 4.0-6.0, making this leverage multiple more attractive to senior debt players. So, our current Debt/EBITDA ratio stood at 4.5x (3.0x for Term A and 1.5x for Term B). This was a great start and allowed the FCC for Terms A and B to yield 1.6x and 2.0x, respectively, but did not get us over 1.1x for mezzanine. Engineering the mezzanine structure was more difficult. At first, we had a 2x mezzanine EBITDA multiple, yielding an FCC of 0.9x. Then, lowering this to 1x EBITDA (value of $1,438), we saw that our mezzanine FCC was 1.2x, making us comfortable that we would get our money back in the debt repayment schedule, despite our low seniority in the tranche schedule. Finally, with comfortable FCC values, we saw that this capital structure yielded a 16.9% IRR for Cavalier Capital and 21.5% IRR for Jefferson Capital. Everyone goes home happy.

Below are helpful exhibits from our Excel sheet that show sensitivity tables, IRR calculations, our financing package, and our FCC calculations. It's also important to note that, as Cavalier Capital, our best-case at 11x Exit Multiple and EBITDA at 10% expectation, we realize a 19.8% IRR, and our worst-case at 6x Exit Multiple and -20% EBITDA drop from expectation still yields a 15.1% IRR, making us comfortable sub-debt players.

| **Financing Package** | | **Amount** | **Cash Interest** | **PIK** |
|---|---|---|---|---|
| Purchase multiple | **7.50x** | $10,788 | | |
| Term A | **3.00x** | $4,315 | 5.50% | |
| Term B | **1.50x** | $2,158 | 7.50% | |
| Mezzanine (Cavalier Capital) | **1.00x** | $1,438 | 11.00% | 2.00% |
| Equity investment (Jeffereson Capital Management) | **2.00x** | $2,877 | | |

| | | | | | | |
|---|---|---|---|---|---|---|
| FCF | | 682 | 925 | 908 | 1,033 | 1,069 |
| Beginning Balance | | 4,315 | 4,100 | 3,884 | 3,668 | 3,452 |
| Term A Principal | | 216 | 216 | 216 | 216 | 216 |
| Interest | | 237 | 225 | 214 | 202 | 190 |
| Total Debt | | 453 | 441 | 429 | 418 | 406 |
| Tax shield | | 55 | 52 | 49 | 46 | 44 |
| Excess Cash Flow | | 284 | 536 | 528 | 662 | 708 |
| **FCC** | | **1.6** | **2.2** | **2.2** | **2.6** | **2.7** |
| Term B | | | | | | |
| FCF | | 283.5 | 536.1 | 527.9 | 661.6 | 707.5 |
| No principal | | | | | | |
| Interest | | 161.8 | 161.8 | 161.8 | 161.8 | 161.8 |
| Total Debt | | 162 | 162 | 162 | 162 | 162 |
| Tax Shield | | 37 | 37 | 37 | 37 | 37 |
| Excess | | 159 | 411 | 403 | 537 | 583 |
| **FCC** | | **2.0** | **3.5** | **3.5** | **4.3** | **4.6** |
| **Mezzanine** | | 159 | 411 | 403 | 537 | 583 |
| **Interest** | | 158 | 158 | 158 | 158 | 158 |
| **Total Debt** | | 158 | 158 | 158 | 158 | 158 |
| **Tax Shield** | | 36 | 36 | 36 | 36 | 36 |
| **Excess** | | 37 | 290 | 281 | 415 | 461 |
| **FCC** | | **1.2** | **2.8** | **2.8** | **3.6** | **3.9** |
| **Cavalier Capital** | | | | | | |
| Equity stake of mezzanine investors | | | | | | 5.00% |
| Equity value to mezzanine investors | | | | | | 401 |
| Cash flows for mezzanine investors | (1,438) | 158 | 161 | 165 | 168 | 2,161 |
| Mezzanine internal rate of return (IRR) | 16.9% | | | | | |
| Mezzanine cash on cash | 1.96 x | | | | | |
| **Jefferson Capital Management** | | | | | | |
| Cash flows for equity investors | (2,877) | 0 | 0 | 0 | 0 | 7,624 |
| Equity IRR | 21.5% | | | | | |
| Equity cash on cash | 2.65 x | | | | | |

## Step 5: Sensitivity Analysis

Cavalier Capital

**IRR of Equity Investment**

| EBITDA relative to forecast / *Exit Multiple* | 6.0x | 7.5x | 8.0x | 9.5x | 10.0x | 11.0x |
|---|---|---|---|---|---|---|
| -20% | 15.12% | 16.38% | 16.78% | 17.97% | 18.35% | 19.10% |
| -10% | 15.37% | 16.62% | 17.02% | 18.19% | 18.57% | 19.31% |
| 0% | 15.62% | 16.86% | 17.25% | 18.42% | 18.79% | 19.53% |
| 5% | 15.76% | 16.99% | 17.38% | 18.54% | 18.91% | 19.65% |
| 8% | 15.85% | 17.08% | 17.47% | 18.62% | 19.00% | 19.73% |
| 10% | 15.91% | 17.13% | 17.53% | 18.68% | 19.05% | 19.78% |

**IRR of Equity Investment**

| EBITDA relative to forecast / *Exit Multiple* | 6.0x | 7.5x | 8.0x | 9.5x | 10.0x | 11.0x |
|---|---|---|---|---|---|---|
| -20% | 7.13% | 18.14% | 21.04% | 28.38% | 30.50% | 34.36% |
| -10% | 9.66% | 19.88% | 22.62% | 29.64% | 31.68% | 35.41% |
| 0% | 11.97% | 21.52% | 24.13% | 30.86% | 32.82% | 36.43% |
| 5% | 13.19% | 22.41% | 24.94% | 31.52% | 33.44% | 36.99% |
| 8% | 13.97% | 22.98% | 25.47% | 31.95% | 33.85% | 37.36% |
| 10% | 14.48% | 23.36% | 25.82% | 32.24% | 34.12% | 37.60% |